
MARKET INTELLIGENCE REPORT

Dubai Real Estate Market Brief

Q1 2026 — First Quarter Analysis

AED 252B

TOTAL TRANSACTION VALUE — Q1 2026

60,303 Transactions

DATA SOURCE: DUBAI LAND DEPARTMENT (DLD) OFFICIAL FIGURES

REPORT DATE: MAY 2026 · MR LIVING CAPITAL ADVISORY

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Q1 2026 at a Glance

Dubai's real estate market recorded its highest-ever first-quarter transaction value in Q1 2026, reaching AED 252 billion across 60,303 registered deals — a 31% year-on-year increase in value and 6% growth in volume.

AED 252B TRANSACTION VALUE +31% vs Q1 2025	60,303 TOTAL TRANSACTIONS +6% vs Q1 2025
718,160 PROCEDURES REGISTERED Record volume	AED 173B INVESTMENT VALUE +22% YoY
48,448 INVESTORS +8% YoY	29,312 NEW INVESTORS +14% YoY

Key Highlights

- > **Record quarter:** AED 252B marks the highest Q1 in Dubai's history, surpassing AED 192B in Q1 2025.
- > **Investment surge:** 48,448 investors entered, including 29,312 new investors (+14% YoY).
- > **Off-plan dominance:** 75.3% of market value (AED 103.4B), reflecting sustained developer confidence.
- > **Foreign capital:** International investors contributed AED 148.35B (+26% YoY), 85% of total value.
- > **Women investors:** 15,540 women registered investments worth AED 32B.
- > **Price appreciation:** Average residential prices reached AED 1,949/sqft, up 12-15% annually.
- > **Luxury growth:** AED 10M+ investments reached AED 87.7B (+26% YoY).

ANALYST NOTE
While Q1 2026 demonstrates exceptional volume, the market is entering stabilisation. Price growth is moderating from 20-25% in 2024 to a sustainable 5-8% trajectory for 2026. This creates a strategic entry window.

5-Year Value Growth

Dubai's transaction values surged from AED 55B in Q1 2022 to AED 252B in Q1 2026 — a 4.6x increase in four years, underpinned by population growth, regulatory reforms, and global capital flight to safe-haven markets.

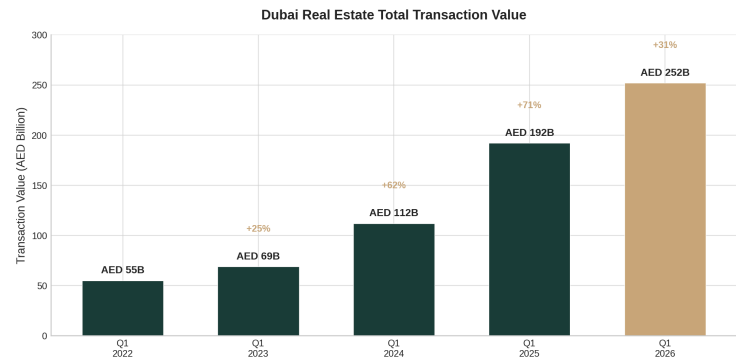


Figure 1: Total Transaction Value Q1 2022–Q1 2026 (Source: DLD)

Quarterly Comparison

METRIC	Q1 2025	Q1 2026	CHANGE
Transaction Value	AED 192.0B	AED 252.0B	+31%
Transactions	57,011	60,303	+6%
Procedures	~640,000	718,160	+12%
Avg. Deal Value	AED 3.37M	AED 4.18M	+24%
Investment Value	AED 141.8B	AED 173.0B	+22%
Investors	44,859	48,448	+8%
Investments	~49,000	57,744	+18%

Source: Dubai Land Department Q1 2026 Official Statistics

KEY INSIGHT

The 24% increase in average deal value signals a move toward higher-value properties and portfolio consolidation. Luxury segments (AED 10M+) experienced the strongest growth at +26% year-on-year.

The Off-Plan Dominance

Off-plan transactions captured 75.3% of total market value at AED 103.4B across 32,608 deals. This structural shift reflects buyer preference for new developments with flexible payment plans and modern amenities.

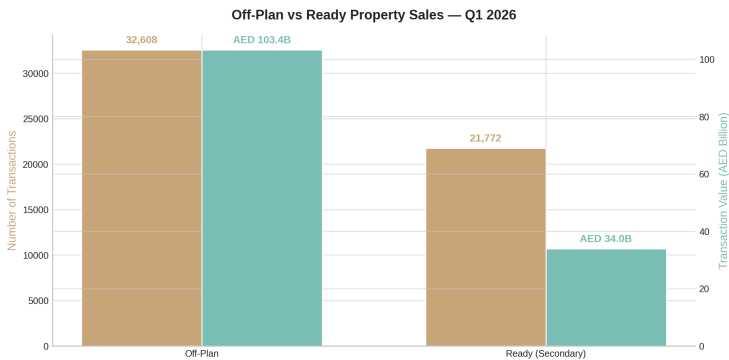


Figure 2: Off-Plan vs. Ready Market Split Q1 2026 (Source: DLD / Springfield)

Off-Plan Performance

METRIC	VALUE
Value	AED 103.4B
Transactions	32,608
Market Share	75.3%
Avg. Price/Sqft	AED 2,100
3-Year Growth	+80.4 %

Ready (Secondary)

METRIC	VALUE
Value	AED 34.0B
Transactions	21,772
Market Share	24.7%
Villa Price/Sqft	AED 2,354
Rental Yield	6.7-7.0%

Residential vs. Commercial

PROPERTY TYPE	VALUE	DEALS	SHARE
Residential	AED 138.7B	45,221	78.5%
Commercial	AED 38.0B	3,622	21.5%

Source: DLD Q1 2026 / Springfield Properties

VOLUME SURGE

Off-plan volumes grew 80.4% over three years — from 18,071 in Q1 2023 to 32,608 in Q1 2026. This reflects effective RERA escrow regulations (Law 13 of 2019) and increasing development sophistication.

Price Per Square Foot by Area

Average residential prices reached AED 1,949/sqft in Q1 2026, up 12-15% annually. Growth moderated from the 20-25% peak of 2024-2025, signalling a maturing market cycle.

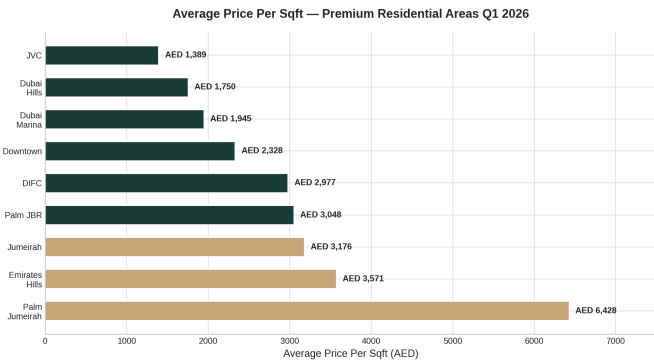


Figure 3: Price/Sqft by Premium Area Q1 2026 (Source: DLD / fām)

Premium Area Matrix

AREA	TYPE	PRICE/SQFT	YOY	YIELD
JVC	Apt	AED 1,389	+14%	7.0-7.5%
Dubai Hills	Apt	AED 1,750	+18%	6.2-6.8%
Dubai Marina	Apt	AED 1,945	+10%	5.8-6.2%
Downtown	Apt	AED 2,328	+8%	5.0-5.5%
DIFC	Apt	AED 2,977	+12%	5.2-5.8%
Palm JBR	Apt	AED 3,048	+15%	4.8-5.2%
Jumeirah	Apt	AED 3,176	+11%	4.5-5.0%
Emirates Hills	Villa	AED 3,571	+16%	4.2-4.8%
Palm Jumeirah	Villa	AED 6,428	+19%	3.5-4.0%

Source: DLD / fām Properties / REIDIN Q1 2026

Pricing insights: JVC and Dubai Hills led growth at +14-18% driven by infrastructure and rental demand. Palm Jumeirah villas hit AED 6,428/sqft (+19%) on UHNW demand. Prime area yields compressed to 4.5-5.5%; value corridors maintain 6.5-7.5%. Entry threshold: AED 600K for quality 1-BR.

Who Is Investing in Dubai?

48,448 investors entered the market in Q1 2026, including 29,312 first-time investors (+14 % YoY). Zero income tax, Golden Visa, and full foreign ownership continue to draw global capital.

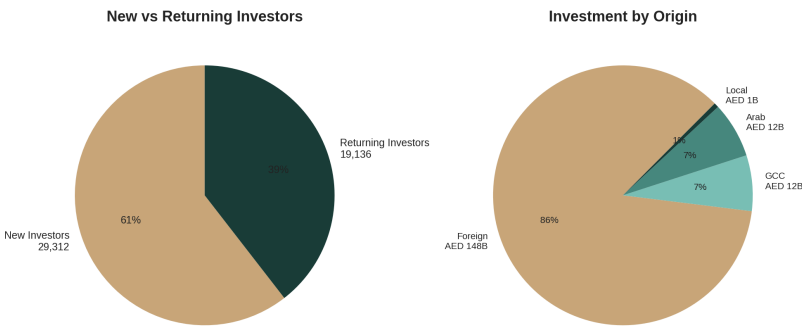


Figure 4: Investor Profile Q1 2026 (Source: DLD)

Investor Breakdown

CATEGORY	COUNT	VALUE	YOY
Total Investors	48,448	AED 173B	+8%
New Investors	29,312	—	+14%
Returning	19,136	—	+1%
Women	15,540	AED 32B	+11%

Capital Origin

ORIGIN	INVESTMENTS	VALUE (AED)	YOY
Foreign Nationals	48,445	148.35B	+26%
GCC Nationals	—	12.23B	+14%
Arab Nationals	—	12.11B	Stable

Source: DLD Q1 2026 — Foreign investment: 85.7% of total value

TOP INVESTOR NATIONALITIES

British, Indian, Russian, Chinese, Saudi, Egyptian, Lebanese, Pakistani, Iranian, and Jordanian nationals lead foreign investment, collectively accounting for 70%+ of non-UAE transactions.

AED 10M+ Market & What's Coming

Luxury investments (AED 10M+) reached AED 87.7B (+26% YoY). Simultaneously, 120,000 new units are scheduled for delivery in 2026 — understanding both dynamics is critical for yield forecasting.

AED 87.7B
LUXURY INVESTMENT VALUE
+26% vs Q1 2025

120,000
UNITS DELIVERING 2026
+26% vs 2025

2026 Delivery by Corridor

CORRIDOR	UNITS	OFF-PLAN PRICE/SQFT	RISK
JVC	18,500	AED 1,200-1,600	Low
Dubai South / Expo	14,200	AED 900-1,300	Moderate
Dubai Hills Estate	12,800	AED 1,600-2,200	Low
Meydan / MBR City	11,500	AED 1,400-1,900	Moderate
Dubai Creek Harbour	9,300	AED 1,500-2,000	Moderate-High
Town Square / Al Furjan	8,700	AED 1,000-1,400	Low
Other Corridors	45,000	AED 800-1,500	Variable

Source: DLD Developer Filings / REIDIN Supply Pipeline

Developer Track Record

DEVELOPER	ON-TIME RATE	AVG. DELAY	GRADE
Emaar Properties	92%	0-3 mo	A
Sobha Realty	85%	0-4 mo	B+
Damac Properties	78%	3-8 mo	B+
Nakheel	72%	4-10 mo	B
Binghatti	65%	6-12 mo	C+

Source: DLD Completion Records

Rental Yields & Tenant Demand

Dubai's rental market remains one of the most attractive globally, with residential gross yields averaging 6.7-7.0% for apartments and 4.5-5.5% for villas. Rental rates grew 8-12% in Q1 2026.

Average Yields by Property Type

PROPERTY TYPE	GROSS YIELD	NET YIELD	AVG. ANNUAL RENT
Studio (JVC/Int'l City)	7.5-8.5%	5.5-6.5%	AED 45-55K
1-BR (JVC/Dubai Hills)	6.5-7.5%	4.8-5.8%	AED 70-95K
2-BR (Marina/Downtown)	5.5-6.5%	4.0-5.0%	AED 110-160K
3-BR (Premium)	4.8-5.5%	3.5-4.2%	AED 180-280K
3-BR Villa (JVC/Town Sq)	6.0-7.0%	4.5-5.5%	AED 120-160K
4-BR Villa (Dubai Hills)	5.0-6.0%	3.8-4.8%	AED 200-320K
5-BR+ Villa (Palm/EH)	3.5-4.5%	2.5-3.5%	AED 400-800K

Source: REIDIN / Bayut / Property Finder Q1 2026

NET YIELD CALCULATION

Net yield accounts for service charges (AED 15-25/sqft), maintenance (2-3% of rent), vacancy (5%), agency fees (5%), and DEWA. Budget 25-30% of gross rental income for deductions. Service charges at premium towers (AED 25-35/sqft) can consume ~30% of gross income alone.

Tenant demand drivers: Population at 3.8M growing 2.5% annually (120K+ new residents/year); corporate relocations in finance, tech, crypto; Golden Visa holders preferring long-term rentals before purchase; short-term rental restrictions pushing demand into long-term leases.

2026–2028 Projections

The market is transitioning from high-growth to sustainable appreciation. Consensus projects 5-8% annual price growth for 2026, moderating from 12-22% in 2024-2025. The long-term structural outlook remains strongly positive.

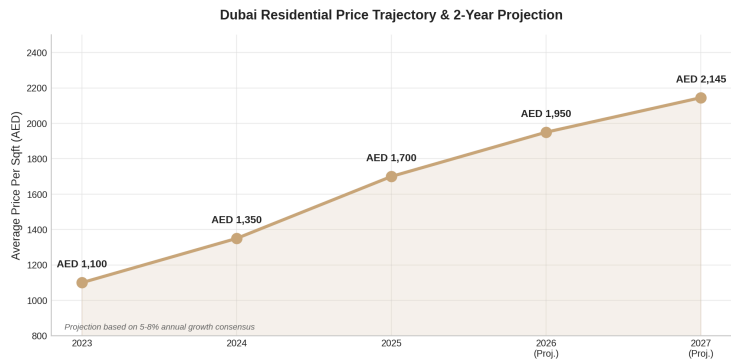


Figure 5: Price Trajectory & 2-Year Projection (Source: Industry Consensus / MR Living Capital)

2026 Full-Year Forecast

INDICATOR	2025 ACTUAL	2026 FORECAST	DIRECTION
Price Appreciation		12-15%	5-8% Moderating
Transaction Volume		~195,000	200-220K Stable/Up
Transaction Value		~AED 720B	AED 750-800B Up
Rental Yield (Apts)		6.5-7.0%	6.2-6.8% Slight Comp.
New Supply		~95,000	~120,000 Increasing
Foreign Share		84%	85%+ Increasing

Source: Industry Consensus / DLD / REIDIN / MR Living Capital Analysis

5-Year Cumulative Growth (2026-2030)

20-25%
CUMULATIVE PRICE GROWTH
3.7-4.6% compound annual

30-35%
CUMULATIVE VALUE GROWTH
Higher-value transactions

AED 2,500
PROJ. AVG. PRICE/SQFT 2030
From AED 1,949 Q1 2026

4.5M
PROJ. POPULATION 2030
From 3.8M Q1 2026

Key risks: 120K units in 2026 may outpace absorption in secondary areas; mortgage rates at 7-8% reduce affordability; global recession could reduce foreign inflows; regulatory changes (short-term rental restrictions, new taxes) could impact sentiment.

What Investors Should Know

Dubai's Q1 2026 results confirm maturation into a globally significant real estate destination. The data reveals clear opportunities and risks that require professional navigation.

#	INSIGHT	ACTION
1	AED 252B Q1 — historic record. Momentum is real but moderating.	Enter before the next growth cycle, not after it peaks.
2	Off-plan = 75% of value. Payment plans reduce barriers but carry delivery risk.	Verify developer track record and escrow before signing.
3	JVC and Dubai Hills offer best risk-adjusted returns: 6.5-7.5% yields + 14-18% appreciation.	Prioritise these corridors for portfolio foundation.
4	120,000 units incoming in 2026. Oversupply risk exists in specific corridors.	Check absorption rates and Days on Market before buying.
5	Service charges consume 25-30% of rental income. Often understated by developers.	Verify actual charges in comparable delivered projects.
6	Foreign investors: AED 148B (+26%). Dubai remains competitive vs. London/NY.	Leverage full ownership and zero capital gains tax.
7	Growth moderating from 20% to 5-8%. Healthy, not a warning.	Selectivity matters more than speed. Avoid panic-buying.
8	Golden Visa (AED 2M+) converts property into family residency.	Structure purchases to meet the threshold if residency is a goal.
9	Women investors: AED 32B. Dubai's inclusive environment attracts diverse capital.	The market is deep and liquid for all investor profiles.
10	Average deal value rose 24%. Investors are moving upmarket.	Minimum viable entry: AED 600K-1M. Don't under-invest.

THE MR LIVING CAPITAL FRAMEWORK

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The Window Is Open. Here's Why You Walk Through It.

A 5-minute argument for Dubai real estate — backed by numbers, built for everyone.

"If you could buy property in a city where your rental income is tax-free, your capital gains are tax-free, your tenants are growing by 120,000 people per year, and your government just committed AED 32 trillion to make the city twice as big — would you wait?"

1. The Tax Advantage Is Real — And It Compounds

Let's start simple. In London, you pay 20-45% income tax on your rental earnings. In New York, it's up to 37% federal plus state. When you sell, you pay 15-24% capital gains tax. In Dubai, you pay **zero**. No income tax. No capital gains tax. No property tax. No inheritance tax.

Here's what that means in real numbers. A AED 100,000 annual rental income in Dubai stays AED 100,000 in your pocket. In London, after taxes and fees, you might keep AED 55,000-65,000. Same property value. Same tenant. Different jurisdiction. Different life.

The compounding effect: Over 10 years, a Dubai investor retaining 100% of rental income vs. a London investor retaining 60% accumulates 67% more capital — assuming identical property performance. That gap widens with time. That is not speculation. That is arithmetic.

2. Population Growth Is Structural — Not Cyclical

Dubai's population is growing at **10.7% annually**. That is not a boom. That is a structural migration. 4.47 million people live here today. The government targets 5.8 million by 2040. Each year, 120,000+ new residents arrive needing housing.

They are not tourists. They are bankers relocating from London, tech founders from San Francisco, crypto traders from Singapore, doctors from India, engineers from Egypt. They are families. They need apartments, villas, schools, hospitals, roads. And they are willing to pay premium rents because the alternative is paying 40% tax in their home country.

The supply-demand gap: 120,000 new residents need roughly 45,000-50,000 housing units per year. Only ~95,000-120,000 units deliver annually across ALL price points. In premium segments, the shortage is acute. In JVC, apartments under AED 1.5M have sub-30-day vacancy periods. That is not a market. That is a queue.

3. The D33 Agenda: Government-Backed Growth for 10 Years

In January 2023, Sheikh Mohammed bin Rashid announced the **Dubai Economic Agenda D33**: double the economy by 2033. AED 32 trillion cumulative GDP target. 30 technology unicorns. 1 million new jobs. 100 transformational projects.

This is not a slogan. This is a fiscal plan backed by sovereign wealth, regulatory reform, and political will that most democracies cannot match. The Dubai government does not debate infrastructure for 8 years. It builds metro lines in 4. It does not study free zones. It creates them and fills them.

What D33 means for property: Every metro extension raises adjacent land values. Every new free zone creates tenant demand. Every tourism project (the latest: Dubai Metro Blue Line, Hatta Master Plan, Dubai Urban Tech District) creates service jobs that need housing. You are not betting on a developer's marketing. You are riding a sovereign wealth fund's 10-year investment thesis.

4. Rental Yields Are Among the World's Highest

Dubai residential gross yields: **6-9%**. London: 3-4%. New York: 3-5%. Singapore: 2-4%. Sydney: 3-4%. On a net basis (after service charges and vacancy), Dubai still delivers 4.5-6.5% — nearly double what comparable prime cities offer.

Why? Because Dubai's property prices, while rising, remain 40-60% below London and New York on a per-square-foot basis, while rental rates are competitive. The yield spread exists because the market is younger, less leveraged, and less institutionalised. That spread compresses as the market matures. Your entry yield today is likely your highest yield for the next decade.

5. The Golden Visa: Property as a Passport

Invest AED 2 million in property. Receive a **10-year renewable residency visa** for yourself, your spouse, and your children. No minimum stay requirement. No sponsor. Full ownership. Access to healthcare, education, banking. The ability to live, work, and retire in one of the world's safest cities.

Compare this to UK Tier 1 Investor Visa (suspended in 2022), US EB-5 (USD 800K-1.05M, 2+ year processing, conditional green card), or Portugal Golden Visa (EUR 500K, but with stay requirements and political uncertainty). Dubai's programme is cheaper, faster (2-4 weeks), and more stable.

The residency premium: For families with school-age children, the cost of international schooling in London or New York can exceed USD 40,000 per child per year. In Dubai, the same quality costs AED 40,000-80,000 (USD 11,000-22,000). Over 10 years, a family with two children saves USD 360,000-580,000 in education costs alone. The Golden Visa pays for itself.

6. Full Foreign Ownership — No Local Partner Required

Since 2002, Dubai has allowed 100% foreign ownership of property in designated freehold areas. Since 2019, commercial companies can be 100% foreign-owned. In 2022, the UAE federal government abolished the requirement for local sponsorship entirely.

This means: you own the title deed. Your name is on the DLD register. You sell when you want. You inherit to whom you want. No local partner takes 51%. No government confiscation risk. No currency controls. Your capital moves freely.

Compare to emerging markets: In many "high-growth" markets, foreign ownership is restricted to 30-49%, leasehold structures expire, or currency repatriation is limited. Dubai offers the ownership security of London with the growth profile of an emerging market. That combination is unique globally.

7. Timing: The Sweet Spot Between Growth and Stability

Q1 2026 is not 2021 (COVID recovery, prices depressed). It is not 2024 (peak FOMO, 25% annual growth). It is the **stabilisation phase**: 5-8% projected annual growth, sustainable rental demand, rational buyer behaviour, and developers competing on quality rather than just price.

This is when smart money enters. Not when the billboards are loudest. Not when the taxi drivers are giving property tips. But when the data is clear, the infrastructure is delivering, and the risk-reward ratio is mathematically favourable.

THE BOTTOM LINE

Dubai real estate in 2026 offers a combination that does not exist elsewhere: **zero tax, 6-9% yields, 10.7% population growth, full foreign ownership, residency by investment, and a government committing AED 32 trillion to double the economy**. Each of these factors alone would justify investment. Together, they create a structural opportunity that smart investors recognise once in a generation. The question is not whether to invest. The question is whether to invest before the next 100,000 people arrive and bid up the prices you are considering today.

Ready to invest with data?

We analyse 100 opportunities to recommend 3. Every filter verified. Every number real.

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Data Sources & Methodology

All statistics compiled from verified, publicly available sources. Every data point cross-referenced against at least two independent sources.

Primary Sources

SOURCE	DATA
Dubai Land Department (DLD)	Transaction values, volumes, investor counts
REIDIN	Price/sqft, supply pipeline, absorption
fäm / Springfield	Residential pricing, off-plan/ready splits
Bayut / Property Finder	Rental indices, yields, demand data
Dubai Statistics Center	Population, GDP, demographic data
RERA / DED	Developer records, escrow, regulations

Methodology: All values from DLD-registered sales. Price/sqft: weighted transaction averages. Yields — gross: rental/purchase; net: deducts service charges (AED 15-25/sqft), maintenance (2-3%), vacancy (5%), agency (5%), DEWA. Projections: industry consensus, not guarantees. Tax comparisons based on published rates as of Q1 2026. D33 data from official UAE government announcements.

Disclaimer: This report is for informational purposes only and does not constitute investment advice. Real estate investments carry risk including potential loss of capital. Statistics sourced from DLD and verified providers. Projections are consensus estimates. Investors should conduct independent due diligence and consult qualified advisors. MR Living Capital Holding FZ-LLC.